

DM545/DM871 – Linear and integer programming

Exercise Sheet 3, Autumn 2026

Exercises with the symbol $^+$ are to be done at home before the class. Exercises with the symbol * will be tackled in class and should be at least read at home. The remaining exercises are left for self training after the exercise class.

Exercise 1 $^+$

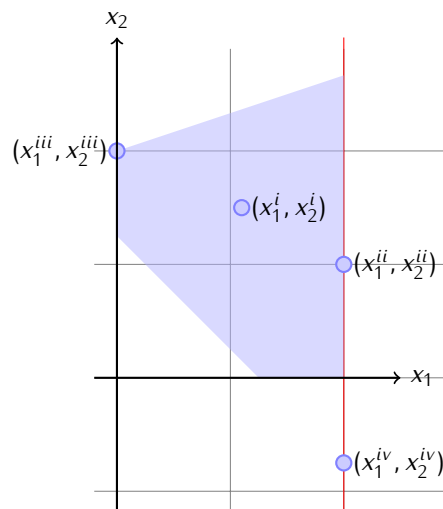
What argument is used to prove that the simplex algorithm always terminates in a finite number of iterations if it does not encounter a situation in which one of the basic variables is zero? What may happen instead if the latter situation arises and which remedies are introduced?

Exercise 2 *

Exercise 3 from Exam 2013.

Consider the following LP problem:

$$(P) \quad \begin{array}{llll} \max & z = x_1 & + & 5x_2 \\ \text{s.t.} & -x_1 & + & 3x_2 \leq 6 \\ & 4x_1 & + & 4x_2 \geq 5 \\ & 0 & \leq & x_1 \leq 2 \\ & & & x_2 \geq 0 \end{array}$$



(Note: the following subtasks can be carried out independently; use fractional mode for numerical calculations)

- The polyhedron representing the feasibility region is depicted in the figure. Indicate for each of the four points represented whether they are feasible and/or basic solutions. Justify your answer.
- Write the initial tableau or dictionary for the simplex method. Write the corresponding basic solution and its value. State whether the solution is feasible or not and whether it is optimal or not.
- Consider the following tableau:

	x1	x2	x3	x4	x5	-z	b
I	0	4	1	-1/4	0	0	29/4
II	1	1	0	-1/4	0	0	5/4
III	0	-1	0	1/4	1	0	3/4
IV	0	4	0	1/4	0	1	-5/4

and the following three pivoting rules:

- largest coefficient
- largest increase
- steepest edge.

Which entering and leaving variables would each of them indicate? In this specific case, which rule would be convenient to follow? Report the details of the computations for the first two rules and carry out graphically the application of the third rule using the plot in the figure above (tikz code to reproduce the figure available in the online version.)

Exercise 3

The two following LP problems lead to two particular cases when solved by the simplex algorithm. Identify these cases and characterize them, that is, give indication of which conditions generate them in general.

$$\begin{array}{ll}\text{maximize} & 2x_1 + x_2 \\ \text{subject to} & x_2 \leq 5 \\ & -x_1 + x_2 \leq 1 \\ & x_1, x_2 \geq 0\end{array}$$

$$\begin{array}{ll}\text{maximize} & x_1 + x_2 \\ \text{subject to} & 5x_1 + 10x_2 \leq 60 \\ & 4x_1 + 4x_2 \leq 40 \\ & x_1, x_2 \geq 0\end{array}$$

Exercise 4*

Consider the following problem:

$$\begin{array}{ll}\max & z = 4x_2 \\ \text{s.t.} & 2x_2 \geq 0 \\ & -3x_1 + 4x_2 \geq 1 \\ & x_1, x_2 \geq 0\end{array}$$

- Write the LP in equational standard form and say why it does not provide immediately an initial feasible basis for the simplex method.
- To overcome the situation of infeasible basis construct the auxiliary problem for a phase I-phase II solution approach. Determine which variables are initially in basis and which are not in basis in the auxiliary problem.
- Answer the following questions
 - Is the initial basis in the auxiliary problem feasible in the original problem?
 - Is it optimal in the auxiliary problem?
 - Is it degenerate?
 - Can we say at this stage if phase I will terminate?
 - If it will terminate, can we say at this stage that it will terminate with a basis that corresponds to a feasible solution in the original problem?
 - Solve the problem by carrying out Phase I and Phase II of the simplex algorithm.

Exercise 5⁺ LP modeling — Investment plan

An investor has 10,000 Dkk to invest in four projects. The following table gives the cash flow for the four investments.

The information in the table can be interpreted as follows: For project 1, 1.00 Dkk invested at the start of year 1 will yield 0.50 Dkk at the start of year 2, 0.30 Dkk at the start of year 3, 1.80 Dkk at the start of year 4, and 1.20 Dkk at the start of year 5. The remaining entries can be interpreted similarly. The entry 0.00 indicates that no transaction is taking place. The investor has the additional option of investing in a bank account that earns 6.5% annually. All funds accumulated at the end of 1 year can be reinvested in the following year. Formulate the problem as a linear program to determine the optimal allocation of funds to investment opportunities.

[Taken from Operations Research: An Introduction, Taha]

Project	Year 1	Year 2	Year 3	Year 4	Year 5
1	-1.00	0.50	0.30	1.80	1.20
2	-1.00	0.60	0.20	1.50	1.30
3	0.00	-1.00	0.80	1.90	0.80
4	-1.00	0.40	0.60	1.80	0.95

Exercise 6* LP modeling — Budget Allocation

A company has six different opportunities to invest money. Each opportunity requires a certain investment over a period of 6 years or less. See Figure 1.

The company wants to invest in those opportunities that maximize the combined *Net Present Value* (NPV). It also has an investment budget that needs to be met for each year. (The Net Present Value is calculated with an interest rate of 5%).

How should the company invest?

We assume that it is possible to invest partially in an opportunity. For instance, if the company decides to invest 50% of the required amount in an opportunity, the return will also be 50%.

Net present value:

A debtor wants to delay the payment back of a loan for t years. Let P be the value of the original payment presently due. Let r be the market rate of return on a similar investment asset. The future value of P is

$$F = P(1 + r)^t$$

Viceversa, consider the task of finding the present value P of \$100 that will be received in five years, or equivalently, which amount of money today will grow to \$100 in five years when subject to a constant discount rate. Assuming a 5% per year interest rate, it follows that

$$P = \frac{F}{(1 + r)^t} = \frac{\$100}{(1 + 0.05)^5} = \$78.35.$$

Expected Investment Cash Flows and Net Present Value							Budget
	Opp. 1	Opp. 2	Opp. 3	Opp. 4	Opp. 5	Opp. 6	
Year 1	-\$5.00	-\$9.00	-\$12.00	-\$7.00	-\$20.00	-\$18.00	\$45.00
Year 2	-\$6.00	-\$6.00	-\$10.00	-\$5.00	\$6.00	-\$15.00	\$30.00
Year 3	-\$16.00	\$6.10	-\$5.00	-\$20.00	\$6.00	-\$10.00	\$20.00
Year 4	\$12.00	\$4.00	-\$5.00	-\$10.00	\$6.00	-\$10.00	\$0.00
Year 5	\$14.00	\$5.00	\$25.00	-\$15.00	\$6.00	\$35.00	\$0.00
Year 6	\$15.00	\$5.00	\$15.00	\$75.00	\$6.00	\$35.00	\$0.00
NPV	\$8.01	\$2.20	\$1.85	\$7.51	\$5.69	\$5.93	

Figure 1: